

Chapter 2

Recording Business Transactions

Rules for determining Debit & Credit:

Assets : Increase - - - - - Debit

Decrease - - - - - Credit

Liabilities : Decrease - - - - - Debit

Increase - - - - - Credit

Capital : Decrease - - - - - Debit

Increase - - - - - Credit

Revenues : Decrease - - - - - Debit

Increase - - - - - Credit

Expenses : Increase - - - - - Debit

Decrease - - - - - Credit.

Debit : Left-hand side of an account.

Credit : Right-hand side of an account.

Debit Balance:

The balance of an account in which the total amount of debits exceeds the total amount of credits.

Credit Balance:

The balance of an account in which the total amount of credits exceeds the total amount of debits.

of credits exceeds the total amount of credits exceeds the total amount of debits.

Journal:

A journal is a chronological record of the entity's transactions. The very first process of accounting is to record the business transactions chronologically, by analyzing debit and credit with interpretation as soon as they take place in the books of original entry.

Ledger: The entire group of accounts maintained by a company, including all the asset, liability and owner's equity accounts is referred to collectively as the ledger.

Trial Balance: A trial balance is a list of accounts & their balance at a given time. It is prepared at the end of the accounting period to prove that the debits equal the credits after posting.

Math:

- 1) Livon invested \$50,000 cash & \$30,000 furniture in the business.
- 2) Paid \$40,000 cash for land.
- 3) Purchased \$500 of office supplies on account.
- 4) Received \$5,500 cash from clients for accounting service.

revenue earned.

5) Performed accounting service for a client on account \$3000

Livon's Journal Entries

Date	Particulars	Ref	Debit	Credit
1.	Cash Dr Furniture Dr Capital Cr (Investment by owner)		50,000 30,000	80,000
2.	Land Dr Cash Cr (paid for Land)		40,000	40,000
3.	Office Supplies Dr Acc. Payable Cr (purchased office supplies on acc)		500	500
4.	Cash Dr Service Revenue Cr (received cash revenue)		5500	5500
5.	Account receivable. Dr Service Revenue Cr (Revenue on account)		3000	3000
	Total		129000	129000

Livon's Ledger Accounts

Cash Account

Date	Accounts	Ref.	Debit	Credit	Balance	
					Debit	Credit
1.	Capital		50000		50000	
2.	Land			40000	10000	
4.	Service revenue			5500	15500	

Furniture Account

Date	Accounts	Ref.	Debit	Credit	Balance	
					Debit	Credit
1	Capital		30000		30000	

Capital account

Date	Accounts	Ref.	Debit	Credit	Balance	
					Debit	Credit
1	Cash accounts			50000		
	Furniture			30000		
						80000

Land Account

Date	Accounts	Ref.	Debit	Credit	Balance	
					Debit	Credit
2.	Cash		40000		40000	

Office Supplies Account

Date	Accounts	Ref.	Debit	Credit	Balance	
					Debit	Credit
3	Alp		500		500	

Account Payable

Date	Accounts	Ref.	Debit	Credit	Balance	
					Debit	Credit
3	Office supplies			500		500

Service Revenue

Date	Accounts	Ref.	Debit	Credit	Balance	
					Debit	Credit
4	Cash			5500		5500
5	A/R			3000		8500

Account receivable

Date	Accounts	Ref.	Debit	Credit	Balance	
					Debit	Credit
5	Service revenue		3000		3000	

Trial Balance

SL.	Accounts	Ref.	Debit	Credit
1	Cash		155000	
2	Furniture		30000	
3	Capital			80000
4	Land		40000	
5	Office supplies		500	
6	Account payable			5000
7	Service revenue			8500
8	Account receivable		3000	
	Total		89000	89000

Math 2: Ahmed Hisham started a cable television service organization in 2018. During the first week of operations completed the following selected transactions:

Jan 1 Investment of \$30,000 cash & a building valued at \$70,000.

Jan 2 borrowed \$85,000 from the bank signing a note payable.

Jan 3 Paid \$50,000 for office furniture.

Jan 5 Purchased office supplies on account \$1,200.

Jan 7 Received \$5,000 for cable TV service performed for customers.

Jan 8 Paid on account \$700.

Ahmed Hisham Journal Entries

Date	Particulars	Ref.	Debit	Credit
1	Cash D 30000 Building D 70000 Capital Cr 100000 (Investment by owner)			
2.	Land Cash D 85000 Cash Note payable Cr 85000 (borrowed from bank)			
3.	Paid Off. furniture D 50000 Cash Cr 50000 (Paid for office furniture)			
5.	Office Supplies D 1200 Acc. Payable Cr 1200 (Purchased office supplies on acc.)			
7.	Cash D 5000 Service revenue Cr 5000 (received cash revenue)			
8.	Paid A/P D 700 Service revenue Cr 7000 Cash (Revenue on account)			
	Total		241900	241900

Ahmed Hisham Ledger accounts

Cash Account

Date	Accounts	Ref.	Debit	Credit	Balance	
					Debit	Credit
1.	Capital Account		30000		30000	
2.	Land Account payable		8500	40000	11500	40000
3.	Office furniture			50000		65000
4.	Cash Account		5000		70000	
5.	Account Payable			700		69300

Building account

Date	Accounts	Ref.	Debit	Credit	Balance	
					Debit	Credit
1.	capital account		70000		70000	

Capital account

Date	Accounts	Ref.	Debit	Credit	Balance	
					Debit	Credit
1.	Cash account			30000		
	Building account			70000		100000

Note Payable account

Date	Accounts	Ref.	Debit	Credit	Balance	
					Debit	Credit
2.	Borrowed from bank			85000		85000

Office furniture account

Date	Accounts	Ref.	Debit	Credit	Balance	
					Debit	Credit
3.	Paid for office furniture		50000		50000	

Office Supplies account

Date	Accounts	Ref.	Debit	Credit	Balance	
					Debit	Credit
5	Office supplies		1200		1200	

Account payable account

Date	Accounts	Ref.	Debit	Credit	Balance	
					Debit	Credit
5	Office supplies		1200	1200		1200
8	Paid		700			500
—	Account payable		—	—	—	500

Service revenue account

Date	Accounts	Ref.	Debit	Credit	Balance	
					Debit	Credit
7	Service revenue		—	5000		5000

Trial Balance

SL.	Accounts	Ref.	Debit	Credit
1	Cash account		69300	
2	Building account		70000	
3	Capital account			100000
4	Notepayable account			85000
5	Office furniture acc.		50000	
6	Office supplies acc.		1200	
7	Account payable acc.			500
8	Service revenue acc.			5000
	Total		190500	190500

Math-3

Shanta Reed owns and operates an interior design studio called "Shanta Interiors." The following amounts summarize the financial position of her business on March 31, 2007:

Assets

= Liabilities + Owner Equity

Cash + A/R + Supplies + Land = A/P + Shanta's Capital

Bal. 1250 1500 12000 8000 6750

During April 2007, the following transactions occurred:

- a) Shanta invested \$15000 in the business.
- b) Performed services for a client and received cash of \$800
- c) Paid off the beginning balance of Accounts payable.
- d) Purchased supplies on account \$500
- e) Collected cash from a client on account \$1000
- f) Consulted on the interior design of a major office building and billed the client for the service rendered, \$2500
- g) Recorded the following business expenses for the month:
 - i) Paid office rent — \$400
 - ii) " advertising — \$300
 - iii) " utilities — \$300

- h) Sold supplies to another business for \$150 cash which was the cost of the supplies.
- i) Purchased a Land for \$8000 cash paid \$3000 and the balance will be paid in the next month.
- j) withdraw cash \$1500 for personal use.

9) Shanta's Journal Entries

Date	Particulars	Ref.	Debit	Credit
a)	Cash Account D Capital A/c Cr		15000	15000
b)	Cash A/c D Service revenue Cr		800	800
c)	Accounts Payable D Cash Cr		8000	8000
d)	Office Supplies D Account Payable Cr		500	500
e)	Cash D Account receivable Cr		1000	1000
f)	Account receivable D Service revenue Cr		2500	2500
g)	Office rent A/c D advertising A/c D utilities A/c D Cash Cr		400 300 300	1000
h)	Cash A/c D Supplies Cr		150	150

Date	Particulars	Ref.	Debit	Credit
i)	Land A/c D		8000	
	Cash A/c Cr			3000
	Account payable Cr			5000
j	Withdrawal D		1500	
	Cash A/c Cr			1500
	Total		38450	38450

Shanta's Ledger Account

Account payable A/c

Shanta's Ledger Account

Cash account

Date	Accounts	Ref.	Debit	Credit	Balance	
					Debit	Credit
a.	Capital		15000		15000	
					16250	
b.	Service Revenue		800		17050	
					15800	
c.	A/P			8000		9050
	Beginning balance		1250		1250	
d.	Account receivable		1000			10500
e.	Office rent A/c		400	400		
	advertising A/c		300	300		9050
	utilities A/c		300	300		
h.	Supplies Account		150			9200
i.	Land			3000		6200
j.	Withdrawals			1500		4700

Capital Account

Date	Accounts	Ref.	Debit	Credit	Balance	
					Debit	Credit
1.	Cash		15000	15000		15000

Service Revenue

Date	Accounts	Ref.	Debit	Credit	Balance	
					Debit	Credit
b.	Cash			800		800
f.	Account receivable			2500		3300

Accounts	Ref.	Debit	Credit	Balance	
				Debit	Credit
Beginning Balance			8000		8000
Cash Account ✓		8000			—
Office supplies Account			500		500
Land ✓			5000		5500

Office Supplies Account

Accounts	Ref.	Debit	Credit	Balance	
				Debit	Credit
Account payable		500		500	
Cash Account			150	350	

Account Receivable

Accounts	Ref.	Debit	Credit	Balance	
				Debit	Credit
Beginning Balance		1500		1500	
Cash Account			1000	500	
Service Revenue		2500		3000	

Office Rent Account

Date	Accounts	Ref.	Debit	Credit	Balance	
					Debit	Credit
g.	Cash Accounts		400		400	

Advertising Accounts

Date	Accounts	Ref.	Debit	Credit	Balance	
					Debit	Credit
g.	Cash Accounts		300		300	

Utilities Account

Date	Accounts	Ref.	Debit	Credit	Balance	
					Debit	Credit
g.	Cash accounts		300		300	

Land Accounts

Date	Accounts	Ref.	Debit	Credit	Balance	
					Debit	Credit
	Beginning Balance		12000		12000	
i	Cash Accounts		3000			
	Account payable		5000		20000	

Withdrawal Accounts

Date	Accounts	Ref.	Debit	Credit	Balance	
					Debit	Credit
j.	Cash accounts		1500		1500	

Shanta's Trial Balance

As on April 2007

Date	Accounts	Ref.	Debit	Credit
1.	Cash Account		4700	
2.	Capital			21750
3.	Service Revenue			3300
4.	Accounts Payable			5500
5.	Office Supplies		350	
6.	Account Receivable		3000	
7.	Office Rent		400	
8.	Advertising		300	
9.	Utilities		300	
10.	Land		20000	
11.	Withdrawal		1500	
	Total		30,550	30,550